a progressive scale. The fund so collected can be used by the Government for paying off war time debt obligations. This is the most controversial method of debt repayment.

9.11 Budget

The word 'budget' is said to have its origin from the French word "Bougett" which refers to 'a small leather bag'.The budget is an annual financial statement which shows the estimated income and expenditure of the Government for the forthcoming financial year.

9.11.1. Definitions

"It is a document containing a preliminary approved plan of public revenue and expenditure".

-Reney Stourn.

"The budget has come to mean the financial arrangements of a given period, with the usual implication that they have been submitted to the legislature for approval".

- Bastabale

9.11.2. Union Budget and State Budget

India is a federal economy, hence public budget is divided into two layers of the Government. According to the Indian Constitution, the Central Government has to submit annual financial statement, i.e., Union Budget under Article 112 to the Parliament and each State Government has to submit the same for the State in the Legislative Assembly under Article 202.

9.11.3. Types of Budget

Revenue and Capital Budget

On the basis of expenditure on revenue account and other accounts, a budget can be presented in two ways:

i) Revenue Budget: It consists of revenue receipts and revenue expenditure. Moreover, the revenue receipts can be categorised into tax revenue and non-tax revenue. Revenue expenditure can also be categorised into plan revenue expenditure and non-plan revenue expenditure.

ii) Capital Budget: It consists of capital receipts and capital expenditure. In this case, the main sources of capital receipts are loans, advances etc. On the other side capital expenditure can be categorised into plan capital expenditure and non-plan capital expenditure.

iii) Supplementary Budget: During the time of war emergencies and natural calamities like tsunami, flood etc, the expenditures allotted in the budget provisions are not always enough. Under these circumstances, a supplementary budget can be presented by the Government to tackle these unforeseen events.

iv) Vote - on - Account: Under Article 116 of the Indian Constitution, the budget can be presented in the middle of the year. The reason may be political in nature. The existing Government may or may not continue for the year, on account of the fact that elections are due, then the Government places a 'lame duck budget'. This is also called 'Vote-on-account Budget'.

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